



7 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by confidence in the corporate earnings outlook and ongoing AI-driven investment, crowding out other sources of concerns.

Global equity markets advanced, with US stocks pushing to fresh highs and gains extending across Europe and Australia, as well as much of Asia.

Government bond markets rallied as investors pared expectations of near-term policy tightening and responded to softer economic data in Europe. Australia was the outlier, with yields moving higher.

The US dollar softened allowing major currencies including the AUD, euro and yen to gain ground.

Commodity markets were mixed, with Brent crude rebounding from an intraday low of US\$97/bbl, while gold firmed and base metals were little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.6%
AUD/USD	0.6983	0.2%
AUD/JPY	110.45	0.3%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2416	-0.3%
AUD/EUR	0.6202	-0.2%
AUD/CNH	4.6799	0.1%
AUD/SGD	0.8921	0.0%
AUD/HKD	5.4801	0.2%
AUD/CAD	0.9923	-0.2%
EUR/USD	1.1260	0.3%
USD/JPY	158.17	0.2%
USD Index	101.86	-0.3%

Equities	Close	Change
S&P/ASX 200	8,736	0.6%
S&P 500	7,824	0.6%
Japan Nikkei	70,684	1.1%
Hang Seng	24,281	1.0%
Euro Stoxx 50	6,272	0.5%
UK FTSE100	10,542	0.4%
VIX Index	15.04	-3.1%

Commodities	Current	Change
CRB Index	413.84	0.7%
Gold	4169.56	0.7%
Copper	14415	0.0%
Oil (WTI futures)	89.73	0.3%
Coal (coking)	264.00	0.4%
Coal (thermal)	152.95	1.3%
Iron Ore	91.50	-0.2%
ACCU	36.13	-4.3%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.61	0.01
90 day BBSY	4.82	0.01
180 day BBSY	5.20	0.01
1 year swap	4.90	-0.01
2 year swap	4.92	-0.03
3 year swap	4.93	-0.05
4 year swap	4.95	-0.06
5 year swap	5.00	-0.05
6 year swap	5.05	-0.05
7 year swap	5.11	-0.05
8 year swap	5.17	-0.04
9 year swap	5.22	-0.04
10 year swap	5.26	-0.04

Government Bond Yields	Close	Change
Australia		
3 year bond	4.92	0.03
10 year bond	5.40	0.06
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.80	-0.01
10 year bond	5.28	-0.03

Other (10 year yields)		
Germany	3.48	-0.02
Japan	3.11	0.01
UK	5.38	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.41	-0.02
3 yr bond	4.94	0.00
3 mth bill rate	4.63	0.00
SPI 200	8,763	0.0%

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Financial Markets

Market sentiment was underpinned by expectations of robust corporate earnings and sustained AI-related investment, with investors largely looking through higher oil prices, renewed inflation concerns and fiscal challenges. Equity markets advanced while government bond yields moved lower. Oil prices initially declined but later reversed course following reports of a blast near Iran's Qeshm Island, highlighting the fragility of global energy markets. Middle East export flows are recovering, but acute refined-product shortages and limited spare capacity leave the market vulnerable to further supply disruptions.

- US equities moved towards record highs driven by AI optimism and a pullback in oil prices through most of the session allaying inflation concerns. The S&P 500 climbed 0.6% to a record high, while the Dow Jones gained 0.5% and the Nasdaq rose 0.5%. European markets also advanced, with the Euro Stoxx 50 up 0.5% and the FTSE 100 rising 0.4%.
- Buoyed by the overnight rally in US tech stocks, most Asian equity markets closed higher. Japan's Nikkei 225 rose 1.1% to a three-month high, while Hong Kong's Hang Seng gained 1.0%. Mainland Chinese markets remained closed for Golden Week. At the other end, South Korea's Kospi underperformed, falling 0.9%. The ASX 200 extended its run to a third consecutive session, rising 0.6%, led by miners.
- US Treasury yields retreated as oil prices stabilised and Treasury Secretary Scott Bessent commented that stronger growth and spending restraint would help improve the US fiscal trajectory. President Trump also signed an executive order expanding access to tax-exempt "red dye" diesel, a move aimed at helping ease fuel cost pressures. The 2-year Treasury yield fell 1bps, while the 10-year yield declined 3bps. Markets also pared expectations of near-term Fed tightening, with the probability of an October hike falling to 19%, although a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%.
- European bonds also rallied amid softer economic data, with Germany's weak factory orders weighing on Bund yields. The 10-year Bund fell 2bp, while 10-year gilt yields declined 4bps. The 10-yr OAT fell about 11bps after French presidential candidate Marine Le Pen pledged to reduce France's budget deficit to below 3% of GDP by 2032.
- Australian government bond yields moved higher, with the 3-year yield up 3bps and the 10-year yield up 6bps. In an interview, Treasurer Chalmers noted that higher bond yields would be "one of the big upward pressures on the budget" when the mid-year federal budget update is released later this year. Swap markets continue to assign a modest probability to a November rate hike, with around 25% priced. Markets still fully price in an additional hike by June 2026.
- The US dollar fell, with the DXY down 0.3%. The AUD rose

Today's key data and events

Time	Event	Exp	Prev
-	CN Foreign Reserves Sep	US\$3.425t	US\$3.438t
2:00	US US NY Fed 1-Yr Expectations Sep	3.6%	3.6%
6:00	US Consumer Credit Aug	US\$15b	US\$18.1b

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

against the greenback, up 0.2% to 0.6983. Other crosses also rose against the USD, with the yen up 0.2%, euro lifting 0.3% and the pound gaining 0.3%.

- Oil prices reversed earlier losses after Iran's state news agency reported a blast heard off Qeshm Island. Brent crude rose 0.6% to US\$101/bbl after trading as low as US\$97/bbl intraday, while WTI gained 0.3% to US\$90/bbl. Elsewhere, gold rose 0.7%, copper was little changed and iron ore edged 0.2% lower.

International Data

Iran's Interior Minister Momeni held "good and constructive" talks with Qatar's emir who reportedly responded "positively" to a message from Iran's President Pezeshkian.

US: The **trade balance** for August fell to -105.6bn, led by record imports. **FOMC** member Schmid voiced concern about inflation, noting AI is one of its largest drivers.

Eurozone: **Retail sales** in August rose 0.1% mth and 0.8% yr (prior 0.4% yr).

Local Data

Australia: The **Westpac-Melbourne Institute Consumer Sentiment Index** fell 4.7% to 80.4 in October. The survey detail showed consumer concerns are still primarily about the cost-of-living and high interest rates than the more acute job and insolvency problems that arise during a recession (see [here](#)). The **ANZ-Indeed job ads index** rose 2.2% in September to be 12.9% yr higher.



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